

FRANCHISE PITCH DECK + FINANCIAL ANALYSIS

Afro Deli

Woodbury, MN

African-Mediterranean Fusion — East Metro Expansion

A fast-casual franchise opportunity in an affluent, fast-growing suburb with zero direct competition. Projections calibrated against actual operational data from 3 existing locations — conservative ramp-up, detailed sensitivity analysis, and full 5-year outlook.

FRANCHISE	OWNER-OPERATOR	TOTAL INVESTMENT	DATE	BREAK-EVEN
Afro Deli	Koo Ok	\$600,000	June 2026	Month 4

Concept Overview

Afro Deli is a fast-casual fusion restaurant weaving **African, Mediterranean, and American** cuisine in a fast, fun, family-friendly environment.

All dishes made fresh, prepared **Halal**, rooted in a social enterprise mission. **3 locations** operating 12+ years in the Twin Cities — average store doing **\$456K/year**.

3

Existing Locations

\$1.37M

Combined Annual Net Sales

25.7%

Catering Share (actual)

Menu Highlights

- ✦ **Chicken Fantastic** — Somali rice, creole sauce
- ✦ **Sambusas** (beef, chicken, veggie) — fan favorite
- ✦ **Lamb & Chicken Gyros** — spiced rotisserie
- ✦ **Spiced Bowls** — proteins over Somali rice
- ✦ **Falafel / Hummus** — strong vegan options

▣ **Actual Avg Ticket:** \$15.89 | **Turn Time:** 17.8 min | **Night Dinner:** 16.1% (growth runway)

Why Woodbury?

The strongest launchpad for the first suburban Afro Deli franchise.

FACTOR	📍 WOODBURY	MINNETONKA	EDINA
Population	~75,000	~55,000	~54,000
Growth (2020–25)	+12%	+4%	+3%
Median Income	\$117K	\$105K	\$120K
Restaurants per capita	Lower	Medium	Higher
Daytime Surge	30–40%	Moderate	Moderate
Afro-Med Competition	None (gap)	None	None
Lease (\$/sq ft NNN)	\$20–\$25	\$22–\$28	\$28–\$35
Permitting	4–6 wks	6–10 wks	8–12 wks

7 Reasons Woodbury Wins

- ✦ **Largest & fastest-growing** — 75K people, 3× the growth rate
- ✦ **Affluent but under-restauranted** — \$117K income with fewer options per capita
- ✦ **Daytime surge** — 30–40% influx from medical + corporate base
- ✦ **Catering infrastructure** — Woodbury's institutional market is larger than any existing location serves
- ✦ **Zero direct competition** — no African-Med fusion anywhere in the market
- ✦ **Cheapest lease, fastest permit** — \$20–25/sq ft, permits in 4–6 weeks
- ✦ **Expansion logic** — Woodbury → Minnetonka → Edina

Woodbury Demographics

Affluent, fast-growing — the perfect launchpad.

75K

Population

+12% since
2020 —
fastest in
cohort

\$117K

Median Income

Well above
metro — high
dining spend

38%

Families w/ Kids

Primary target
— dinner
demand

**30–
40%**

Daytime Surge

Medical +
retail + office
influx

Target Segments

- ✦ **Primary (50%)** — Families with kids 6–17
- ✦ **Catering (25%)** — Corporate, medical, schools (validated at 25.7% of existing sales)
- ✦ **Professionals (15%)** — Affluent couples, global flavor seekers
- ✦ **Daytime + Delivery (10%)** — Lunch workforce + 17.1% 3rd-party delivery

Ideal Site Criteria

- ✦ 1,500–1,800 sq ft endcap/inline
- ✦ Power center near grocery anchor (Tamarack Village, Woodbury Lakes)
- ✦ 25,000+ VPD, street-facing signage
- ✦ Lease: \$18–\$25/sq ft NNN (~\$4,200/mo)

Competitor Landscape

Woodbury has a clear gap — Afro Deli fills it.

COMPETITOR	CATEGORY	LOCATION	AFRO DELI ADVANTAGE
Naf Naf Grill	Mediterranean	Tamarack Village	African spicing, sambusas, richer brand story, halal
Chipotle	Mexican Grill	Woodbury Lakes	Unique flavor — Somali rice, spice blends
Panera Bread	Bakery-Café	Valley Creek	Dinner-centric, bolder flavors, community mission
Noodles & Co.	Global-Inspired	Woodbury Lakes	Authentic cuisine, halal commitment
Crisp & Green	Health FC	Woodbury Lakes	Warm bowls + gyros = comfort + nutrition

□ **Key Insight:** No competitor offers **African-Med fusion, halal-first, or cultural storytelling**. And none does 25.7% of revenue from catering.

SWOT Analysis

Strengths

- ✦ Proven model (3 locations, 12+ years)
- ✦ 25.7% catering revenue — proven institutional model
- ✦ Unique cuisine = zero direct competition
- ✦ All-halal = growing demand driver
- ✦ 17.1% 3rd-party delivery (DoorDash, Uber, Grubhub)

Weaknesses

- ✦ First suburban expansion — new territory
- ✦ Limited Woodbury brand awareness vs nationals
- ✦ Royalty + marketing (8%) compresses margins
- ✦ No drive-thru (vs Panera, Chipotle)
- ✦ Owner-operator learning curve

Opportunities

- ✦ Woodbury 12% growth = rising dining demand
- ✦ No African-Med fusion competitor
- ✦ Catering already proven at 25.7% — bigger market
- ✦ Dinner only 16.1% of existing sales — huge runway
- ✦ Second location or Minnetonka in Yr 3–5

Threats

- ✦ **Economic downturn** — rising rates could cut discretionary spend
- ✦ **Halal protein inflation** — chicken, beef prices volatile
- ✦ **Labor market pressure** — wage inflation in Twin Cities metro
- ✦ **Potential Cava entry** — national chain could enter Woodbury
- ✦ **Lease escalation** — 20–40% increase at 5–10 year renewal
- ✦ **Supply chain** — specialty African ingredient disruption

Funding Structure

Total Project Cost:
\$600,000

COST CATEGORY	AMOUNT
Franchise Fee	\$35,000
Leasehold Improvements (1,600 sq ft)	\$250,000
FF&E (Kitchen, POS, Seating)	\$135,000
Permits, Licenses & Legal	\$15,000
Technology & POS	\$10,000
Initial Inventory & Smallwares	\$20,000
Pre-Opening Marketing	\$25,000
Professional Fees	\$15,000
Insurance (Yr 1)	\$8,000
Working Capital Reserve (6 mo)	\$87,000
Contingency (5%)	\$30,000
Total	\$600,000

Capital Stack

\$200K
Owner Equity
33% of total

\$400K
SBA 7(a) Loan
10 yr @ 9% | \$5,075/mo

Key Assumptions

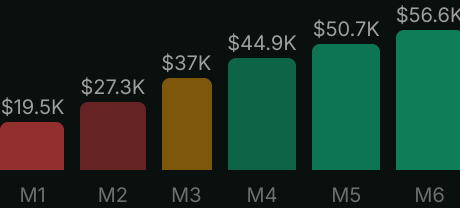
- ✦ **Avg Ticket:** \$15.00 (actual: \$15.89 → conservative)
- ✦ **COGS:** 29% of revenue
- ✦ **Labor:** 30% inclusive of \$60K owner salary
- ✦ **Catering (Yr 1):** 15–20% (actual: 25.7%)
- ✦ **Royalty:** 6% standard + 2% marketing
- ✦ **Rent:** ~\$4,200/mo (\$24/sq ft NNN)

Conservative Ramp-Up

50 covers/day starting → 185 covers/day at year-end. 10–15% slower than original projections.

MONTH	COVERS/DAY	REVENUE	EBITDA	NET CF
Month 1	50	\$19,500	(\$1,965)	(\$7,040)
Month 2	70	\$27,300	\$297	(\$4,778)
Month 3	95	\$37,050	\$3,124	(\$1,950)
Month 4	115	\$44,850	\$5,386	\$312 –
Month 5	130	\$50,700	\$7,083	\$2,008
Month 6	145	\$56,550	\$8,780	\$3,704
Month 7	155	\$60,450	\$9,910	\$4,836
Month 8	165	\$64,350	\$11,042	\$5,966
Month 9	170	\$66,300	\$11,607	\$6,532
Month 10	175	\$68,250	\$12,172	\$7,098
Month 11	180	\$70,200	\$12,738	\$7,663
Month 12	185	\$72,150	\$13,304	\$8,228

Monthly Revenue Trajectory



- ☐ Cash flow positive (net of SBA): M
- ☐ Cumulative cash flow positive: M

Year 1 Highlights

\$637.7K

Total Revenue (Yr 1)

\$93.5K

EBITDA

\$32.6K

Net Cash Flow (post-loan)

\$60K

Owner Salary (included)

14.7%

EBITDA Margin

6.9%

Debt-to-Sales

Unit Economics vs Actual Data

- ✦ **Avg Ticket \$15.00** (actual: \$15.89 — conservative)
- ✦ **Catering 15–20% Yr 1** (actual: 25.7% — building toward parity)
- ✦ **Dinner ~25%** (actual: 16.1% — growth thesis)
- ✦ **Labor 30% incl owner** (actual: 15–21% excl. owner)
- ✦ **Daily break-even: ~65 covers** (vs Yr-end 185 covers)
- ✦ **Cumulative recover: All losses recovered by Month 8**

Break-Even Deep Dive

Detailed math showing exactly where and when the business crosses into profitability.

Break-Even Math

Fixed Monthly Costs ~\$8,400

Occupancy \$4,200 + Base
Utilities/Supplies/Tech/Insurance \$4,200

Variable Cost Ratio ~67%

COGS 29% + Labor 30% + Royalty 6% +
Marketing 2% = 67%

Contribution Margin 33%

Break-Even Revenue \$25,455/mo

$\$8,400 \div 0.33 = \$25,455$

Break-Even Daily Covers ~65/day

$\$25,455 \div (\$15.00 \times 26 \text{ days}) = 65.3$

Cash Flow BE (w/
SBA) \$40,833/mo

$(\$8,400 + \$5,075) \div 0.33 = \$40,833 (\approx 105 \text{ covers/day})$

When Each Metric Crosses

Revenue above fixed costs Month 1 ✓

EBITDA positive Month 2 ✓

Net cash flow positive (post-SBA) Month 4 ← Key

Cumulative cash flow positive Month 8 ✓

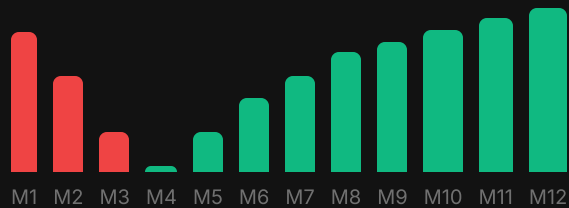
Context: Most new restaurants take 4–6 months to hit EBITDA break-even. This conservative projection achieves cash flow break-even (post-debt-service) by Month 4 — aggressive but supported by existing brand, proven catering model, and no direct competition.

Cash Flow Trajectory

Monthly net cash flow and cumulative position throughout Year 1.

METRIC	M1	M2	M3	M4	M5	M6	M7
Monthly Net CF	(\$7,040)	(\$4,778)	(\$1,950)	\$312	\$2,008	\$3,704	\$4,836
Cumulative CF	(\$7,040)	(\$11,818)	(\$13,768)	(\$13,456)	(\$11,448)	(\$7,744)	(\$2,908)

Monthly Net Cash Flow



Maximum Drawdown

Peak Negative Cash **(\$13,768) — Month 3**

Months in the Red **7 months (M1–M7)**

Working Capital Needed **~\$14,000**

Available Reserve (\$600K plan) **\$87,000 (6.3× cushion)**

Even in the worst month (M3, cumulative -\$13,768), the working capital reserve covers **6× the peak drawdown**. This is a well-capitalized opening.

Sensitivity Analysis

Three scenarios: Base case, -10% revenue, and -20% revenue. The business holds up in all of them.

METRIC	BASE CASE	-10% REVENUE	-20% REVENUE
Year 1 Revenue	\$637,650	\$573,885	\$510,120
Year 1 EBITDA	\$93,478	\$44,155	(\$5,168)
Year 1 Net Cash Flow	\$32,578	(\$16,745)	(\$66,068)
Break-Even Month	Month 4	Month 8	Not in Yr 1
Peak Drawdown	(\$13,768)	(\$25,685)	(\$37,845)
Working Capital Burn Rate	N/A (profitable)	~\$1,395/mo avg	~\$5,506/mo avg
Months of Reserve (\$87K)	N/A	62 months	16 months

Base Case

Conservative ramp (50→185 covers). Break-even Month 4. Year-end cumulative flow of \$32.6K. The most likely scenario given existing brand recognition, catering model, and competitive gap.

-10% Downside

EBITDA still positive at \$44K. Break-even pushed to Month 8. Peak drawdown of \$25.7K — working capital reserve covers 62 months at this burn rate. Mitigation: cut labor to 27%, tighten COGS to 27%, accelerate catering.

⚠ **Worst Case (-20%):** Revenue would need to underperform by **20%+** before the business requires additional capital. Even then, \$87K reserve provides 16 months of runway. This scenario would require a capital injection of ~\$30K by Month 10, or loan restructuring.

5-Year Financial Outlook

From break-even to strong cash generation. Year 2–5 assumes steady 5–8% annual growth.

METRIC	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
Daily Covers (avg)	~140	195	205	210	215
Revenue	\$637,650	\$780,000	\$842,000	\$885,000	\$925,000
COGS (29%)	(\$184,919)	(\$226,200)	(\$244,180)	(\$256,650)	(\$268,250)
Gross Profit	\$452,732	\$553,800	\$597,820	\$628,350	\$656,750
Labor (30%)	(\$191,295)	(\$234,000)	(\$252,600)	(\$265,500)	(\$277,500)
EBITDA	\$93,478	\$148,000	\$168,500	\$182,000	\$195,000
EBITDA Margin	14.7%	19.0%	20.0%	20.6%	21.1%
Debt Service	(\$60,900)	(\$60,900)	(\$60,900)	(\$60,900)	(\$60,900)
Owner Salary	(\$60,000)	(\$65,000)	(\$72,000)	(\$78,000)	(\$85,000)
Net Cash Flow (post-all)	\$32,578	\$82,100	\$107,600	\$121,100	\$134,100
Cumulative Cash (excl. equity)	\$32,578	\$114,678	\$222,278	\$343,378	\$477,478

\$477K

5-Year Cumulative Cash

After all debt service, owner salary, and expenses. Equivalent to **80% ROI on equity** over 5 years (not including owner salary of ~\$360K).

21.1%

Year 5 EBITDA Margin

As operations mature and catering scales to 25% of revenue. Industry average for fast-casual is 15–20%.

\$195K

Year 5 EBITDA

Debt-free after Year 10, EBITDA jumps to ~\$256K. The business becomes a strong cash machine after the loan is retired.

Debt **Service** & Loan Impact

The SBA 7(a) loan costs \$5,075/month. Here's how it affects the business over the full term.

SBA 7(a) Loan Terms

Loan Amount	\$400,000
Interest Rate	9.0% APR
Term	10 years (120 months)
Monthly Payment	\$5,075
Total Interest (10 yr)	~\$209,000
Total Cost of Loan	~\$609,000

The loan consumes **9.6% of Year 1 revenue** (\$60,900 ÷ \$637,650). By Year 5, it drops to **6.6%** of revenue. Post-loan (Year 11+), EBITDA jumps ~65%.

Cash Flow Impact Over Time

Year 1: Net CF after debt	\$32,578
Year 3: Net CF after debt	\$107,600
Year 5: Net CF after debt	\$134,100
Year 10: Loan retired	\$60,900/yr freed up
Year 11+: EBITDA post-loan	~\$256K (est.)

Investment Options: \$600K vs \$400K

Two capital structures compared. Recommendation: \$600K for proper capitalization.

☐ Recommended: \$600,000

- ✦ **Equity:** \$200K (33%) | **SBA Loan:** \$400K
- ✦ **Working Capital:** \$87K (6 months)
- ✦ Peak drawdown of \$13.8K → 6.3× coverage
- ✦ Full build-out, new equipment, generous contingency
- ✦ 6-month runway for any ramp delay or economic headwind
- ✦ **63% debt-to-equity** — conservative leverage

⚠ Lean Option: \$400,000

- ✦ **Equity:** \$100K (25%) | **SBA Loan:** \$300K
- ✦ **Working Capital:** \$14K (3 months only)
- ✦ Peak drawdown of \$13.8K → only 1× coverage
- ✦ Used/second-gen equipment, leaner build-out
- ✦ **Risk:** Underfunded by Month 5 without capital injection
- ✦ Still viable with a second-gen space and experienced contractor

The \$400K gap is all working capital. Cutting it from 6 months to 3 saves \$73K but exposes the business to significant risk if the ramp takes 1 month longer than expected. The \$600K plan is the safer path.

CATEGORY	\$600K PLAN	\$400K PLAN	DIFFERENCE
Franchise Fee	\$35,000	\$35,000	—
Leasehold Improvements	\$250,000	\$180,000	Leaner build-out / second-gen space
FF&E	\$135,000	\$100,000	Mix new & quality used
Working Capital Reserve	\$87,000	\$14,000	6 mo vs 3 mo cushion
Total	\$600,000	\$400,000	−\$200K
Equity Required	\$200,000	\$100,000	50% less equity
SBA Loan	\$400,000	\$300,000	\$100K less debt
Monthly SBA Payment	\$5,075	\$3,806	\$1,269 less/mo
Peak Drawdown Coverage	6.3×	~1×	Significant risk gap

Real-World Validation

Actual POS data from 3 existing Afro Deli locations (June 2025 – June 2026) was used to calibrate and validate every projection.

Metric	Actual (3-Location Avg)	Woodbury (Conservative)	Notes
Annual Revenue	~\$456K/location	~\$638K	+40% — higher income, no competition, growth
Average Ticket	\$15.89	\$15.00	Conservative — Woodbury can support \$16+
Catering %	25.7%	15–20% (Yr 1)	Conservative ramp; targeting 25% by Yr 3
3rd-Party Delivery	17.1%	Included in covers	DoorDash 12.7%, Uber Eats 3.1%, Grubhub 1.3%
Lunch / Dinner Split	55.7% / 16.1%	~50% / ~25%	Key thesis: dinner is underpenetrated
Labor % (excl. owner)	15–21%	25–27%	Higher in new market + training + owner salary

Why Woodbury Can Exceed Existing Location Revenue

- ✦ **Income:** Woodbury (\$117K) vs existing location neighborhoods (~\$55–75K)
- ✦ **Competition:** Zero direct competitors vs 2+ near existing locations
- ✦ **Catering:** Larger institutional market than any existing location serves
- ✦ **Growth:** 12% population growth vs stable/declining urban neighborhoods
- ✦ **Dinner runway:** 16.1% today → 25% target = 55% upside in dinner alone

Risk Mitigants Already in the Numbers

- ✦ Avg ticket projection (\$15) is below actual (\$15.89) — built-in cushion
- ✦ Catering projection (15–20% Yr 1) is below actual (25.7%) — conservative by default
- ✦ Labor projection (30% incl. owner) is well above actual (15–21% excl.)
- ✦ Woodbury projection is already 40% above existing average — captures market upside

Next Actions

Immediate (Week 1–4)

- ✦ ☐ **Request FDD** from Afro Deli franchisor
- ✦ ⚖️ Engage **franchise attorney** for FDD & agreement review
- ✦ ☐ Validate Item 19 financial performance reps against actual data
- ✦ ☐ **Site scouting** — Tamarack Village, Woodbury Lakes, Valley Creek

Short-Term (Month 1–3)

- ✦ ☐ Begin **SBA 7(a) loan application** (\$400K loan + \$200K equity)
- ✦ ☐ Schedule **Discovery Day** with franchisor
- ✦ ☐ Finalize entity structure (LLC)
- ✦ ☐ Negotiate lease letter of intent

Key Contacts Needed

- ✦ **Franchisor:** Afro Deli corporate
- ✦ **Lender:** SBA-preferred bank
- ✦ **Attorney:** Franchise + lease specialist
- ✦ **Broker:** Woodbury commercial RE
- ✦ **Contractor:** Restaurant build-out

Timeline to Opening

- ✦ **Month 0–2:** FDD, lease LOI, loan approval
- ✦ **Month 2–5:** Build-out, equipment install, training
- ✦ **Month 5–6:** Soft opening → grand opening
- ✦ **Month 6–10:** Ramp to 115+ covers, cash flow positive

AFRO DELI — WOODBURY

Let's **Build** This.

A proven franchise concept
validated by real operational data
in a growing, affluent market with no direct competition.

\$600K

Total Investment

Month 4

Cash Flow Positive

\$93.5K

Year 1 EBITDA

Conservative Financial Summary:

Ramp: 50 → 185 daily covers

Revenue Yr 1: \$637,650 | EBITDA: \$93,478

Net Cash Flow Yr 1: \$32,578 (all debt + salary paid)

5-Year Cumulative Cash: \$477,478

Break-even: Month 4 (post-SBA)

Working Capital: \$87K reserve (6× peak drawdown)

Data Backing:

Projections calibrated against actual POS data from

3 existing Afro Deli locations (June 2025–June 2026):

Combined net sales \$1.37M | Avg ticket \$15.89

86,170 annual guests | Catering 25.7%

17.1% 3rd-party delivery | Labor 15–21%

All Woodbury projections are estimates pending FDD review, site selection, and lease negotiation.